

Getting Ready for Home Ownership

Before you start house hunting, establish a record of paying your bills on time. Avoid taking out any new loans or applying for any new credit cards in the months before you start looking for a house. Pay off as much debt as possible to help you qualify for the loan and to give you more expendable income after you move in.

Check your credit report. It's the first thing a lender will do when you apply for prequalification or a mortgage. Make sure there's nothing in the report that's inaccurate or will raise a potential lender's eyebrow, and be prepared to explain any late or missed payments.

Review your entire financial situation. If you haven't already prepared a net worth statement, now's the time to do it. Ditto for a budget. Make sure you can really handle the mortgage payments on top of the other debt you owe, and that you have a realistic feel for what other expenses you'll incur from home ownership.

Avoid Becoming House Poor

You may think buying your dream house is worth any sacrifice, but years of doing without the enjoyment of vacations, new cars, eating out, decorating, or a myriad of other simple pleasures can make your dream house feel like a jail. It can also put a strain on your relationship with your spouse or partner. A good rule of thumb is to buy a house that costs less than two and a half times your income. If your income is \$50,000 a year, try to keep your home price under \$125,000.

Prepare the Down Payment

A down payment is the amount of money you pay up front when you buy property, and it reduces the amount of money you need to borrow. The larger the down payment, the smaller your loan and monthly payments will be, but it's difficult to save enough for a sizeable down payment and closing costs that require cash (real estate transfer taxes, escrows for property taxes